UNITED STATES OF AMERICA
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	)))))))	Docket No. RM26-4-000

JOINT COMMENTS OF THE LOAD FLEXIBILITY PARTIES

On October 27, 2025, the Federal Energy Regulatory Commission ("Commission" or "FERC") issued a Notice Inviting Comments in the above referenced docket on the proposed advance notice of proposed rulemaking ("proposed ANOPR" or "ANOPR") released by the Secretary of Energy ("Secretary") on October 23, 2025 pursuant to section 403 of the Department of Energy Organization Act. Enerwise Global Technologies, LLC d/b/a CPower ("CPower"), Enel North America, Inc., and Voltus, Inc. (collectively the "Load Flexibility Parties" or "Joint Parties") respectfully submit the following comments on the proposed ANOPR.

The Joint Parties applaud the Commission's decision to examine how best to manage the interconnection of large loads under its jurisdiction. This is a critical issue that must be dealt with thoughtfully and expeditiously to ensure that large loads can come online without impairing system reliability.

I. Introduction

The Joint Parties are aggregators of retail customers who provide load flexibility (also known as "demand response") in the organized wholesale electricity markets across the United States. On their own, such customers generally cannot participate in wholesale markets due to their small size, the complexity and risk inherent in wholesale markets, and the administrative burden involved in participating in these markets. Thus, load flexibility aggregators ("aggregators") enable wholesale markets to access the important services that flexible customers can provide. Our comments below discuss how this flexibility can be leveraged to enable and accelerate the interconnection of large load customers.

II. Comments

As the ANOPR observes, electricity demand in the United States is expected to grow at an unprecedented pace in the near term due mainly to the addition of large loads. In order for new loads to interconnect without adversely affecting system reliability, grid operators will need adequate resources on the system to balance supply and demand in real time. While new generation and transmission infrastructure will be part of the solution, other more quickly deployable solutions, such as load flexibility, will be necessary. Simply put, load flexibility helps balance supply and demand by reducing demand when called upon by the grid operator.

a. Load flexibility can and should play an important role in facilitating interconnection of large loads

Load flexibility, which is often referred to as "demand response", is the ability for a customer to curtail their load in response to a high electricity prices or grid conditions. Customers use a variety of mechanisms to provide curtailments. For example, they might deploy behind the meter technologies, including energy storage or generation. Alternatively, they might temporarily halt a manufacturing process or change the setting on their thermostat. Flexible load can be provided by residential, small commercial, or medium-to-large commercial and industrial customers. Appendix A provides more detail on how demand response works.

The ANOPR proposes to allow for expedited interconnection of large loads that co-locate with generation. While this is likely to be an important part of the solution space, relying on new generation alone to meet increased demand will put reliability at risk in the intervening years that it takes for these generation assets to come online. According to Lawrence Berkeley National Laboratory, the typical project built in 2023 took nearly five years to complete.[1]

Given this reality, load flexibility – a more readily available resource - must also play a part in enabling the interconnection of large loads. Leveraging load flexibility has a couple of key advantages: it will be quicker to deploy, and it will be less expensive in most cases. Load flexibility can be deployed much more quickly than new generation because no interconnection process or lengthy construction period applies to load flexibility that uses an already installed behind the meter asset or does not use a behind the meter asset at all. For load flexibility that is provided by a behind the meter asset, the applicable interconnection and construction processes can usually be completed more quickly than those that apply to front of the meter assets.

Load flexibility is inexpensive because it is often enabled just by putting in place simple metering and communication mechanisms, or in the case of automated demand response, it can be as straightforward as installing a programmable thermostat. In either case, these solutions are low cost and quickly achievable. Unlike the components that go into the development of a new generator - such as transformers or substations – most load

[1] Lawrence Berkeley National Laboratory, "Queued Up: 2024 Edition", page 3 https://emp.lbl.gov/sites/default/files/2024-04/Queued%20Up%202024%20Edition_R2.pdf

flexibility building blocks are not subject to significant supply chain backlogs. As a result, it is possible to have a demand response portfolio operational within six to eight months of signing a contract, if not sooner.

The Joint Parties appreciate that the Commission is already considering leveraging load flexibility in the interconnection of large loads. Specifically, the Principles for Reform in the ANOPR include as the seventh principle: "interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited". The Joint Parties support this principle and suggest expanding it to specify that large loads that agree to be curtailable *or that enter into arrangements with another appropriately located load aggregation to provide such curtailment* be considered when exploring expedited interconnection processes that respect existing queue positions. Not all large loads will have the appetite to be curtailable, but all large loads will almost certainly be interested in having access to an expedited interconnection process. If another load or loads that are sited within the same stressed grid area can provide the necessary flexibility, then the large load should be considered for an expedited interconnection upon showing that it has entered into arrangements for such flexibility.

b. Large Loads should be encouraged to provide flexibility but ensuring equitable treatment among *all* types of flexible customers is key

Importantly, rules that are developed for the curtailment required for an expedited interconnection should "play well" with existing rules for demand response in the wholesale markets. All customers who provide load flexibility should be treated equitably regardless of whether they are participating in legacy ISO/RTO constructs or are providing this flexibility as a new large load customer. Equity should be provided across customer types in terms of payment, performance, order of dispatch, dispatch frequency, and duration of dispatch. If new products are created, they should be open to all customers, not just large loads. In short, large loads that agree to be curtailable in exchange for an expedited interconnection should, in no case, receive preferential treatment to other types of demand response in the wholesale markets. Such treatment would run afoul of the Federal Power Act, which prohibits wholesale market rates, terms, or conditions that constitute preferential treatment or that are unduly discriminatory.[2] An example of preferential treatment would be a decision to curtail large loads only after the curtailment of other demand response resources. If there is a desire to give new large loads the option to be curtailed last, then a new product should be created that is open to all customers, not just large loads.

Finally, large loads that interconnect but do not bring their own "capacity" in the form of generation or load flexibility must be first off the system when there is an impending reserve shortage. Large loads that are permitted to interconnect without bringing their own capacity will increase the number of potential or actual reserve shortage hours in the near-term, jeopardizing reliability and significantly increasing the frequency with which most wholesale demand response products are dispatched. Some demand response customers may have an appetite for increased frequency of dispatch, but many will exit the market if this happens because the higher frequency of curtailment will not be compatible with their primary business or their comfort. At a time when system operators are going to need every tool in the toolbox to meet the challenges

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[2] 16 U.S.C. §§ 824d - 824e (2000). Section 205(b) states that "[n]o public utility shall, with respect to any transmission or sale subject to the jurisdiction of the Commission, (1) make or grant any undue preference or advantage to any person or subject any person to any undue preference or disadvantage. …" In addition, section 206(a) states that "[w]henever the Commission … shall find that any rate, charge, or classification demanded, observed, charged or collected by any public utility for any transmission or sale subject to the jurisdiction of the Commission, or that any rule, regulation, practice, or contract affecting such rate, charge, or classification is unjust, unreasonable, unduly discriminatory or preferential, the Commission shall determine the just and reasonable rate, charge, classification, rule, regulation, practice or contract to be thereafter observed and in force, and shall fix the same by order."

that this transition brings, disadvantageous treatment of existing demand response resources would be a counterproductive outcome.

c. The ANOPR Principles for Reform should be expanded to allow load flexibility to play a greater role in the interconnection of large loads

Consistent with our comments in the sections above, the Joint Parties suggest revising principles three, five, and seven as discussed below.

Principle three states that "to the extent practicable, load and hybrid facilities should be studied together with generating facilities". This principle should be expanded to allow for study with other types of incremental resources, including load flexibility, in the appropriate location. Expanding the types of resources that a new large load can be studied with will accelerate the interconnection of these loads because, as noted above, many of these "non-generation" resources, such as flexible load, can come online much more quickly than a conventional generating unit.

Principle five states that "hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested". The Joint Parties agree with this principle but ask that it be clarified that a hybrid facility would include not just load coupled with generation but also load coupled with any other appropriately located incremental resource, including flexible load.

Principle seven states that "the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited." The Joint Parties agree with this principle but ask that it be expanded to state that large loads that agree to be curtailable *or that arrange for load flexibility with an appropriately sited resource* be entitled to an expedited interconnection process.

III. Conclusion

The challenges inherent in interconnection of large loads can be addressed by making use of *all* types of resources available to the wholesale markets. This includes both generation and load flexibility. The Joint Parties appreciate the opportunity to provide comments to the Commission on this important topic.

Respectfully submitted,

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Appendix A
A Primer on Demand Response

What is Demand Response (DR)? Demand response is the ability for customers to reduce their consumption in response to market signals, like price or emergency conditions, or other payments to reduce demand or consumption.

Who can participate in DR? Any customer, from a residential customer, small commercial customer up to medium-to-large commercial and industrial customers.

How does DR work?

Retail DR is customer participation in a utility program that pays customers to adjust their consumption according to curtailment direction received from a utility or a third-party provider of DR services. This can include use of programmable thermostats or participation in rate structures that encourage behavioral changes through price signals. It can also involve treating the capacity offered by the customers as an offset to the utility's resource adequacy requirement. The program will define the dispatch criteria, which could be based on wholesale market prices exceeding a certain threshold or the occurrence of supply constraints or transmission or distribution failures.

Wholesale DR is when a utility, a third-party demand response provider (DRP) or the customer bids to provide DR services directly into the wholesale market. DR in the wholesale market is usually viewed as a supply-side resource and is used to either reduce or meet resource adequacy obligations. Market participants offering DR into the market are subject to penalties for failure to perform. There are generally minimum aggregation sizes of 100 kW in order to qualify to participate in the wholesale market.

What types of DR exist in the Wholesale Market?

Generally speaking, DR participates in the wholesale market through one or a combination of the following types of participation models:

Economic DR: This type of DR submits bids to reduce energy consumption when the market clearing price is at or above its bid price.

Emergency DR: This type of DR is dispatched to provide a load reduction when certain grid stress levels are reached. For example, some ISO/RTOs trigger dispatch of DR based on electricity emergency alerts (EEA 1, 2 or 3).

Ancillary Service Participation: DR is eligible to participate in ancillary service markets provided it meets the operational requirements. Examples of such requirements include: being able to dispatch within a specific notification period and being able to sustain a response over a minimum dispatch interval.